

TENTATIVE RULINGS
Judge SHEILA RECIO, Dept. W8

Law & Motion is heard on Fridays at 9:30 a.m., *unless specially set.*

CIVIL COURT REPORTERS: Department W8 does not provide the services of an official court reporter for law and motion hearings. Please see the court's website for rules and procedures for court reporters obtained by the parties.

POSTING TENTATIVES: Department W8 endeavors to post tentative rulings for law and motion hearings by 5 p.m. on Thursdays. **Do NOT call the Department for a tentative ruling if none is posted.** The court will NOT entertain a request for continuance or the filing of further documents once a tentative ruling has been prepared.

SUBMITTING ON THE TENTATIVE: If ALL sides intend to submit on the tentative ruling, please advise the Department's clerk or courtroom attendant by calling (657) 622-5908. If so advised, the tentative ruling shall become the court's final ruling and the prevailing party shall file and serve a Notice of Ruling and if appropriate, prepare a Proposed Order pursuant to Rule 3.1312 of the California Rules of Court. **Please do not call the Department unless ALL parties submit on the tentative ruling.**

NO APPEARANCES: If no one appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court will determine if the matter is taken off calendar, the tentative ruling becomes the final ruling, or a different order is issued at the hearing. (See *Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

REMOTE APPEARANCES: Department W8 conducts non-evidentiary proceedings, including law and motion via Zoom through the court's online check-in process available through the court's website at <https://www.occourts.org/general-information/covid-19-response/civil-covid-19-response/civil-remote-hearings>. All counsel and self-represented parties appearing for such hearings **must check-in at least 5 minutes before** the 9:30 a.m. hearing on Friday.

The court encourages the parties and attorneys to take advantage of remote appearances for non-evidentiary hearings to reduce travel time, parking costs, and potential hearing delays. However, keep in mind that potential technological or audibility issues could arise when using remote technology, which may require a delay of or halt the proceedings. To help

avoid such, please log in and test your equipment in advance of the hearing. Also, if technological or audibility issues arise during the proceeding, please call (657) 622-5908.

All remote video participants shall comply with the court's "**Guidelines for Remote appearances**", found at <https://www.occourts.org/system/files/guidelinesforremoteproceedings.pdf>.

IN-PERSON: Parties preferring to appear in-person for a law and motion hearing may do so, consistent with Section 367.75 of the Code of Civil Procedure and Orange County Local Rule 375.

PUBLIC ACCESS: The courtroom remains open for all evidentiary and non-evidentiary proceedings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

July 31, 2026

#	Case Name	
6	Ama Investors, LLC vs. Pro Motorcars Inc	<u>Motion for Attorney Fees (x2)</u> <i>1. Cross-Motions for Attorneys' Fees</i> The court DENIES Defendants PRO MOTORCARS, INC and MEHRDAD JANDARIAN's motion for an order awarding Defendants \$60,551.00 as reasonable attorneys' fees. The court GRANTS in part Plaintiff AMA INVESTORS, LLC's motion for attorney's fees. Plaintiff requests \$77,880 as reasonable attorneys' fees. As explained below, the court awards Plaintiff a total of \$63,480 in attorney's fees against Defendants Pro Motorcars, Inc. and Mehrdad Jandarian, jointly and severally. <i>Legal Standard</i> Attorney's fees are not recoverable as costs unless expressly authorized by contract or statute/law. (Code Civ. Proc., § 1033.5. See also, <i>Real Property Services Corp. v.</i>

City of Pasadena (1994) 25 Cal.App.4th 375, 379-380 [“Where a contract specifically provides for an award of attorney's fees incurred to enforce the provisions of the contract, the prevailing party in an action on the contract is entitled to reasonable attorney's fees.”]; (*Wilson's Heating & Air Conditioning v. Wells Fargo Bank* (1988) 202 Cal.App.3d 1326, 1332 [“[I]n an action on a contract between a signatory plaintiff and a signatory defendant to enforce its terms, [Civil Code section 1717] make[s] reciprocal any provision awarding attorney's fees regardless of any wording purporting to make the right unilateral.”].) As a general rule, attorney's fees are awarded only when the action involves a claim covered by a contractual attorney's fee provision and the lawsuit is between signatories to the contract. (*Super 7 Motel Associates v. Wang* (1993) 16 Cal.App.4th 541, 544–545.)

A party moving to recover attorney’s fees has the burden of: (1) establishing entitlement to an award, and (2) documenting the appropriate hours expended and hourly rates. (*ComputerXpress, Inc. v. Jackson* (2001) 93 Cal.App.4th 993, 1020.)

Prevailing Party

Each side argues that they are the prevailing party. The parties do not dispute that the lease agreement at issue in this action contained an attorney’s fees clause. The dispute lies in which party should be deemed the prevailing party.

Plaintiff argues that it is the prevailing party because it was awarded a \$87,770.64 award against Defendants after trial.

Defendants argue that they are the prevailing party because they substantially defeated Plaintiff’s claims. More specifically, Defendants argue that Plaintiff sought at least \$175,000 in damages exclusive of interest, but only obtained an award of \$87,770.64 (including interest), and that Plaintiff was awarded only \$66,842.31 in actual damages, which is approximately only 38% of what Plaintiff sought.

Under Civil Code section 1717(b)(1), the court “shall determine who is the party prevailing on the contract for purposes of this section.... [T]he party prevailing on the contract shall be the party who recovered a greater relief in the action on the contract. The court may also determine that there is no party prevailing on the contract for purposes of this section.”

As explained by the California Supreme Court in *Hsu v. Abbata* (1995) 9 Cal.4th 863, “in deciding whether there is a ‘party prevailing on the contract,’ the trial court is to compare the relief awarded on the contract claim or claims with the parties’ demands on those same claims and their litigation objectives as disclosed by the pleadings, trial briefs, opening statements, and similar sources.” (*Id.* at 876). “The prevailing party determination is to be made only upon final resolution of the contract claims and only by a ‘comparison of the extent to which each party ha[s] succeeded and failed to succeed in its contentions.’” (*Id.*) “[I]n determining litigation success, courts should respect substance rather than form, and to this extent should be guided by ‘equitable considerations.’” (*Id.* at 877.)

“[T]ypically, a determination of no prevailing party results when both parties seek relief, but neither prevails, or when the ostensibly prevailing party receives only a part of the relief sought.” (*Id.* at 875, quoting *Dean Gardenhome Assn. v. Denktas* (1993) 13 Cal.App.4th 1394, 1398); see also *Goodman vs. Lozano* (2010) 47 Cal.4th 1327, 1331 [holding that plaintiffs that were awarded damages after a court trial, but received nothing due to settlement offsets, were not the “prevailing party” entitled to an award of costs under CCP 1032(a)(4)].)

A party's failure “to obtain its preferred litigation objective [] does not mean that the other party is ipso facto the prevailing party.” (*Marina Pacifica Homeowners Assn. v. Southern California Financial Corp.* (2018) 20 Cal.App.5th 191, 205 [trial court acted within its discretion in finding there was no prevailing party on contract where both sides obtained some form of recovery “other than monetary relief”].) Rather, the rule is as follows: “If neither party achieves a complete victory on all the contract claims, it is within the discretion of the trial court to determine which

party prevailed on the contract or whether, on balance, neither party prevailed sufficiently to justify an award of attorney fees.” (*Id.* at 205-206, citations omitted [noting that “Hsu directs us to ‘respect substance rather than form’ in determining litigation success”]; accord *Scott Co. of California v. Blount, Inc.* (1999) 20 Cal.4th 1103, 1109 [although plaintiff was “not automatically a party prevailing on the contract for purposes of section 1717,” where plaintiff sought to prove more than \$2 million in damages but succeeded in establishing only about \$440,000 in damages, trial court did not abuse its discretion in implicitly concluding that plaintiff prevailed, on balance, for purposes of section 1717].) However, the trial court may abuse its discretion in finding there is no prevailing party, if, under an abuse of discretion standard, the results are “so lopsided” that it is unreasonable to say one side was not the prevailing party. (*de la Cuesta v. Benham* (2011) 193 Cal.App.4th 1287, 1290 [holding that, although landlord did not obtain a “complete victory” and, thus, was not “entitled” to fees under section 1717, the trial court abused its discretion in failing to find that the landlord was the prevailing party where it obtained 70% of its claimed damages and tenant recovered nothing on her fraud claim].)

Here, the court finds that Plaintiff was the prevailing party. While the result was a mixed outcome, Plaintiff recovered greater relief than Defendant and ultimately met Plaintiff’s litigation objective — i.e., to be paid rent due. While the result was a mixed outcome, on balance, Plaintiffs recovered greater relief than Defendant and met Plaintiffs’ litigation objective.

As the court found in its 3/20/26 submitted ruling on the trial:

- Defendants breached the lease agreement, as amended, by failing to pay the monthly rent and vacating the property before the 5-year lease term ended. Defendants vacated the Subject Property on or about 1/30/23, despite having eleven months remaining on the lease.

- Plaintiff's actions or inactions did not cause a constructive eviction. Defendants argued, but failed to show, that the Subject Property had become uninhabitable due to significant terminate infestation and related health risks due to such.

- Plaintiff was able to secure a new tenant who began paying \$15,000 per month beginning on 7/1/23. As such, Defendants are not responsible for past rent owing after June 2023.

The court found in favor of Plaintiff on the majority of the disputed issues in this case and found that Defendants' defenses and arguments lacked evidence. While the monetary award was less than what Plaintiff sought, balancing the totality of the case, the court finds that Plaintiff was the prevailing party.

For this reason, Defendants were not the prevailing party and Defendants' motion for attorney's fees is DENIED.

Reasonableness of Fees

The trial court has broad authority to determine the amount of a reasonable fee. (*PLCM Group, Inc. v. Drexler* (2000) 22 Cal.4th 1084, 1095.) The award of attorney fees under section 1717 is governed by equitable principles. (*Ibid.*) The fee-setting inquiry in California ordinarily begins with the "lodestar," i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate. (*Ibid.*) The experienced trial judge is the best judge of the value of professional services rendered and the trial judge's decision will not be disturbed unless the appellate court is convinced that it is clearly wrong, i.e., that it abused its discretion. (*Ibid.*)

"The lodestar is the basic fee for comparable legal services in the community; it may be adjusted by the court based on factors including, as relevant herein, (1) the novelty and difficulty of the questions involved, (2) the skill displayed in presenting them, (3) the extent to which the nature of the litigation precluded other employment by the attorneys, (4) the contingent nature of the fee award. (*Graciano v. Robinson Ford Sales* (2006) 144 Cal.App.4th 140, 154.) "The

purpose of such adjustment is to fix a fee at the fair market value for the particular action.” (*Ibid.*) “In effect, the court determines, retrospectively, whether the litigation involved a contingent risk or required extraordinary legal skill justifying augmentation of the unadorned lodestar in order to approximate the fair market rate for such services.” (*Ibid.*) An attorney’s time spent and hourly rate are presumed to be reasonable. (*Mandel v. Lackner* (1979) 92 Cal.App.3d 747, 761.) Further, prevailing parties are compensated for hours reasonably spent on fee-related issues. (*Serrano v. Unruh* (1982) 32 Cal. 3d 621, 635.)

Here, Plaintiff’s lawyer Jesse Thaler has nearly 15 years of experience and bills at a rate of \$400/hr. The court finds that Plaintiff’s counsel’s billing rate is reasonable based on the market rates for attorneys in Orange County, the experience of counsel, the issues raised in this case, and the type of work performed — particularly trial work.

Plaintiff seeks to \$77,880 in attorneys’ fees or 194.7 hours of work based on a \$400/hour billing rate.

Defendants argue that Plaintiff’s fee request is unreasonable and excessive by making several objections. The court addresses each objection below.

1. TBD Placeholders

Defendants first object to Plaintiff’s “TBD” entries, which total 16.0 hours (\$6,400) for anticipated work as follows:

- Opposition to Defendants’ Motion for Attorney’s Fees (5.0)
- Review Opposition; Reply ISO Plaintiff’s Motion for Attorney’s Fees (3.0)
- Opposition to Motion to Tax Costs (3.0)
- Prepare and attend Defendant’s Motion for Attorney’s Fees (2.0)
- Prepare and attend Plaintiff’s Motion for Attorney’s Fees (1.0)
- Prepare and attend Defendant’s Motion to Tax Costs (1.0)
- Draft, file and serve amended judgment (1.0)

While the court finds that fees for anticipated work is recoverable, the court finds that the number of hours sought is excessive. The court therefore reduces the number of anticipated hours by 6 hours — i.e., 10 hours of recoverable time.

2. Discovery Motions

Defendants argue that Plaintiff filed two sets of discovery motions and the court already awarded fees and costs for those motions. In Plaintiff's reply, Plaintiff does not address whether or not Plaintiff is seeking duplicative fees that were already awarded. As such, the court finds that Defendants' objection is well-taken.

As such, the court reduces Plaintiff's hours by another 6 hours related to discovery motions.

3. Excessive Time Spent

Defendants argue that Plaintiff billed excessive time for the following entries:

- Initial client meeting and document review (6.7 hours);
- Drafting and filing the complaint (5.6 hours);
- MSC statement (6.6 hours) — Plaintiff also requested that the MSC be taken off-calendar;
- Trial brief (6.7 hours) — Plaintiff's trial brief was too short to require this much time

The court agrees that these entries are excessive. The court reduces the amount requested by an additional 4 hours related to these entries.

4. Client Calls

Defendants argue that Plaintiff billed over 20 entries to "discuss case status with client," typically 0.3-0.8 hours. Defendants however do not identify any particular or specific entry that Defendants contend are excessive or improper.

The party opposing a fee motion bears the burden of establishing that the fees are unreasonable by “attack[ing] the itemized billings with evidence that the fees claimed were not appropriate, or obtain[ing] the declaration of an attorney with expertise in the procedural and substantive law to demonstrate that the fees claimed were unreasonable.” (*Premier Med. Mgmt. Sys. v. Cal. Ins. Guarantee Assoc.* (2008) 163 Cal.App.4th 550, 563-564.) “General arguments that fees claimed are excessive, duplicative, or unrelated do not suffice.” (*Id.* at 564.)

Defendants have not met their burden of attacking any specific client call entries. The court overrules this objection.

5. Block Billing

Defendants object to the following entries as improper block billing:

- 04/01/2025 – Draft trial documents; trial preparation; client discussion (5.3)
- 05/09/2025 – Draft trial brief; client preparation (6.7)
- 10/30/2025 – Draft oppositions (x2) (7.2)

The court does not find that these entries constitute improper block billing. The court overrules this objection.

6. Clerical Tasks Billed at Attorney Rates

Defendants argue that multiple entries relate to clerical tasks, such as arranging service, filing notices, and transmitting documents. However, Defendants again do not identify any specific time entry that Defendants contend fall under this category. As such, Defendants have not met their burden of challenging such tasks. The court also overrules this objection.

7. Appellate Work

Defendants argues that Plaintiff cannot seek fees for appellate work. The attorneys’ fees clause however allows for such recovery: “If any Party or Broker brings an action

or proceeding involving the Premises whether founded in tort, contract or equity, or to declare rights hereunder, the Prevailing Party (as hereafter defined) in any such proceeding, action, or appeal thereon, shall be entitled to reasonable attorneys' fees...." (Thaler Decl., Exh. 1 to Complaint, § 31 at p. 15). The court overrules this objection.

8. Correspondence with Defendants' Counsel

Defendants challenge Plaintiff's billing entry for 20 hours for "100+ email correspondence with Defendants' counsel." The court sustains this objection. This entry constitutes improper block billing such that the court/Defendants cannot verify the veracity of any purported correspondence. As such, the court reduces the request by another 20 hours.

9. Arbitration

Defendants argue that Plaintiff's decision to litigate in Superior Court rather than pursuing arbitration materially increased fees and supports reduction. As the court previously found, Defendants had notice of the arbitration provision in the lease since the complaint was filed. Despite opportunities to do so, Defendants waited until the eve of trial, when the parties already incurred substantial fees litigating this case, before moving to compel arbitration. That motion was denied and the court overrules this objection.

Summary of Fees Awarded

The court reduces the 194.7 hours sought by Plaintiff by a total of 36 hours – i.e., the court awards Plaintiff fees for 158.7 hours. Given Plaintiff's counsel's rate of \$400/hour, the court awards a total of \$63,480 in reasonable attorney's fees in favor of Plaintiff and against Defendants Pro Motorcars, Inc. and Mehrdad Jandarian, jointly and severally.

Plaintiff does not request, and the court declines to award, a multiplier in this straightforward case.

		Plaintiff to give notice. <u>2. Upcoming Hearings</u> Defendants filed a motion to tax costs (ROA 209), which is set for hearing on 9/4/26. Plaintiff filed a motion to tax costs (ROA 213), which is set for hearing on 8/28/26. On its own motion, the court CONTINUES Plaintiff's motion to tax costs (ROA 213) from 8/28/26 to 9/4/26, at 9:30 am in Dept. W8, to be heard with the cross-motion matter scheduled at that time (ROA 213). Plaintiff to give notice.
7	Imperial Bag & Paper Co. LLC vs. Haight	<u>Motion for Relief from Waiver of Jury</u> The court GRANTS Defendant STEPHEN HAIGHT's motion for relief from waiver of his right to a jury trial. The right to a jury trial is guaranteed by California's Constitution. (Cal. Const. Art. I, 16.) Section 631 of the Code of Civil Procedure sets forth the only conditions in which a court can find waiver of the right to a jury trial. (Code Civ. Proc., § 631(a).) Specifically, waiver may be found if one of the following is found: (1) By failing to appear at the trial. (2) By written consent filed with the clerk or judge. (3) By oral consent, in open court, entered in the minutes. (4) By failing to announce that a jury is required, at the time the cause is first set for trial, if it is set upon notice or stipulation, or within five days after notice of setting if it is set without notice or stipulation. (5) <i>By failing to timely pay the fee</i> described in subdivision (b), unless another party on the same side of the case has paid that fee. (6) By failing to deposit with the clerk or judge, at the beginning of the second and each succeeding day's session,

the sum provided in subdivision (e). (Code Civ. Proc., § 631(f), emphasis supplied.)

Generally, the fee is “due on or before the date scheduled for the initial case management conference in the action”. (Code Civ. Proc., § 631(c).)

Here, the case management conference was originally scheduled for 11/4/24 [ROA 7] and then rescheduled to 4/14/25 because of a pending demurrer. (ROA 24.) At the demurrer hearing, the court advanced the case management conference and set a 5-day jury trial for 7/20/26 while stating that “[a]ny outstanding jury fees are due within 10 court days” (ROA 32.) Defendant did not timely post the jury fees before 11/4/24 or 4/14/25 or within 10 court days of the 12/20/2024 case management conference. (Code Civ. Proc., § 631(c).)

Defendant did not post the \$150 jury fee deposit until 5/26/26. (ROA 146.) As such, Defendant arguably waived jury.

However, even if one of the waiver conditions has been met, “the court may, in its discretion upon just terms, allow a trial by jury although there may have been a waiver of a trial by jury.” (Code Civ. Proc., § 631(g).) “In exercising such discretion, courts are mindful of the requirement ‘to resolve doubts in interpreting the waiver provisions of section 631 in favor of a litigant’s right to jury trial.’” (*Tesoro del Valle Master Homeowners Assn. v. Griffin* (2011) 200 Cal.App.4th 619, 638.) “A trial court abuses its discretion as a matter of law when ‘... relief has been denied where there has been no prejudice to the other party or to the court from an inadvertent waiver.’” (*Id.*)

Here, Plaintiff filed a notice of posting jury fees on 1/6/25 (ROA 39) but later filed a Notice of Waiver of Jury Trial on 5/19/26 (ROA 144).

Defendant now explains that he failed to timely post fees because his counsel mistakenly believed an attorney service had paid the jury fees. (Barilich Decl., ¶ 3.) While failing to post fees, Defendant did file a Demand for Jury Trial on 12/30/24. (ROA 34.)

		Where, as here, the Defendant made a timely demand, but failed to timely post the jury deposit fee, the general rule is: “When a party that has timely given notice that it desires trial by jury then loses the jury right because of technical noncompliance with some element of statutory procedure—such as failure to pay jury fees at the right time or in the right amount—lack of hardship to the other parties or the court is generally controlling, absent other factors that weigh against relief.” (<i>TriCoast Builders, Inc. v. Fonnegra</i> (2024) 15 Cal.5th 766, 782.) Defendant has shown that the belated posting of jury fees was inadvertent. While Plaintiff contends it has been prejudiced in that its counsel has litigated the case as if it were going to be a court trial, there is no evidence that the court ever indicated that the matter would be tried by the court rather than a jury. Indeed, as late as 6/16/26, the court was indicating that the matter was scheduled as a jury trial. (See 6/16/36 Minute Order (ROA 166) [“Jury Trial continued to”].) Also, any purported prejudice could be remedied by a trial continuance. Defendant’s request for judicial notice is DENIED as it is not necessary to take judicial notice of materials previously filed in this matter. A jury trial remains set for 8/17/26. Defendant to give notice.
8	Bank of America, N.A. vs. Resendiz	<u>Motion to Set Aside Default and Default Judgment</u> The court GRANTS Defendant LINDA JANE RESENDIZ’s Motion to Set Aside Default and Default Judgment, made pursuant to sections 473(b), 473(d) and 473.5 of the Code of Civil Procedure. Background: Plaintiff filed a Proof of Service re Summons and Complaint on 2/10/26, indicating that substitute service on Defendant Resendiz was completed on 2/10/26. (ROA 19.) Service was attempted and documents were

mailed to “11 Cielo Azul, Mission Viejo, CA 92692”. After no response was timely filed to the Complaint, default was requested and entered against Defendant on 3/24/26. (ROA 22.) After a default packet was submitted, default judgment was entered against defendant on 4/27/26. (ROA 27.) Two days later on 4/29/26, Defendant filed the instant motion to set aside the default and default judgment. (ROA 38.)

With her moving papers, Defendant proffers evidence suggesting that the proof of service was defective. For example, Defendant proffers a declaration stating that (1) her mailing address is PO Box 207, Trabuco Canyon, California 92678, which address was on file with the DMV, Plaintiff and others, (2) the Mission Viejo address used for service was not her dwelling house, usual place of abode, or usual mailing address at the time of service, and (3) Defendant learned of this lawsuit through her own inquiry of the court docket rather than through service of the summons and complaint.

The court finds the evidence proffered by Defendant sufficient for this court to grant the motion. Where the party in default moves promptly to seek relief, and no prejudice to the opposing party will result from setting aside the default and letting the case go to trial on the merits, “very slight evidence will be required to justify a court in setting aside the default.” (*Elston v. City of Turlock* (1985) 38 Cal.3d 227, 233, superseded by statute on another point in *Tackett v. City of Huntington Beach* (1994) 22 Cal.App.4th 60.) Further, the court notes that the following portions of Declaration of Reasonable Diligence attached to the Proof of Service re Summons [ROA 19] suggest that Defendant did not reside at the Mission Viejo address at the time of service: “Neighbor didn’t know the name of the subject or resident but said they seldom see anyone” and “Spoke with neighbor. She believes ‘Rueben’ is the only one who lives there now and she rarely sees him.” (See ROA 19; see also Holloway Decl., filed 7/17/26 [ROA 52].)

As such, the motion is GRANTED.

The court VACATES the default entered on 3/24/26 and the default judgment entered on 4/27/26.

Defendant is ORDERED to file and serve the proposed Answer within 5 days of this ruling.

The court sets a Case Management Conference for September 14, 2026, at 10:00 am in Dept. W8. All appearing parties SHALL file and serve a timely case management statement at least 15 calendar days prior to the continued hearing as required by the rules, including California Rules of Court rule 3.725 and Local Rule 369. Failure to do so may result in the imposition of monetary sanctions of \$500.00 against the offending party and/or its attorney of record.

Re Service Issues:

The court further notes that the opposing papers were improperly electronically served. (See Proof of Service, filed 7/17/26 [ROA 56].) Defendant is self-represented and while “[a]n unrepresented party may consent to receive electronic service”, such consent is not apparent from a review of the court file. (See Code Civ. Proc., § 1010.6(c); see also, Cal. Rules of Court, rule 2.251(c)(3)(B) [self-presented parties are to be served by non-electronic methods unless they affirmatively consent to electronic service].) As such, Plaintiff must not rely on electronic service unless the court file reflects that Defendant has consented to receive electronic service.

Further, the court notes that Defendant’s reply papers were accompanied by an improper proof of service. The proof of service was improperly signed by Defendant. (See Proof of Service, filed 7/23/26 [ROA 64].) A proof of service must be signed by a non-party. (See Code Civ. Proc., § 414.10 [“A summons may be served by any person who is at least 18 years of age and not a party to the action.”].) As such, Defendant should not again file a proof of service signed by Defendant.

Violation of the above service rules may result in sanctions, including the court striking or disregarding the papers filed.

		Plaintiff to give notice.
9	Dong vs. Bivens	<u>Motion for Leave to Amend (re First Amended Complaint)</u> The court GRANTS Plaintiff PHIL DONG’s unopposed motion for leave to file a proposed First Amended Complaint (FAC). Plaintiff appears to have complied with the procedural requirements of Rule 3.1324 of the California Rules of Court. (See Travieso Decl., ¶¶ 5-10, Exhs. 1-2.) The Proposed FAC deletes the “loss of use of real property” claim, adds a quiet title cause of action, deletes references to the dismissed Defendant California Association of Realtors, adds allegations explaining the role of each defendant in the transaction; and specifies against which defendant(s) each cause of action is pled. (See Travieso Decl., Exh. 2.) The court finds Plaintiff’s proposed FAC promotes resolution of the full dispute between the parties and clarifies the claims and allegations plead against each defendant. No later than five (5) court days from the hearing, Plaintiff Dong shall file and serve the Proposed FAC (attached as Exhibit 1 to the Travieso Declaration). Plaintiff to give notice. 2. Upcoming CMC In light of the above ruling, the court CONTINUES the scheduled 8/10/26 Case Management Conference to 11/30/26, at 10:00 am in Dept. W8. All appearing parties SHALL file and serve a timely case management statement at least 15 calendar days prior to the continued hearing as required by the rules, including California Rules of Court rule 3.725 and Local Rule 369.

		Plaintiff to give notice.
10	Gill vs. Estate of Joan M. Gray	<u>Motion for Leave to Amend (re First Amended Complaint)</u> 1. Motion for Leave The court GRANTS Plaintiff POLLYANN M. GILL's unopposed motion for leave to file a First Amended Complaint. Generally, leave to amend should be liberally granted. (<i>Nestle v. Santa Monica</i> (1972) 6 Cal.3d 920, 939.) "[I]t is a rare case in which a court will be justified in refusing a party leave to amend his pleadings so that he may properly present his case. If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion." (<i>Morgan v. Superior Court</i> (1959) 172 Cal.App.2d 527, 530 [internal citations and quotation marks omitted].) Plaintiff appears to have complied with the requirements of California Rules of Court, rule 3.1324 governing a motion for leave to amend. Plaintiff seeks leave to add a cause of action for battery and to seek punitive damages (among other forms of relief) in connection with that cause of action for battery. (Niven Decl., Exh. 2.) If delay in seeking the amendment has not misled or prejudiced the other side, the liberal policy of allowing amendments prevails. Indeed, it is an abuse of discretion to deny leave in such a case, even if sought as late as the time of trial. (<i>Higgins v. Del Faro</i> (1981) 123 CA3d 558, 564-565)

		Defendant did not oppose the motion. As Plaintiff has complied with Rule 3.1324 and has met the requirements for seeking leave to amend, the motion is granted. Plaintiff is ORDERED to file and serve the proposed First Amended Complaint within 5 days of this ruling. Plaintiff to give notice. 3. Upcoming CMC The action is still not at-issue. As such, the court CONTINUES the scheduled 8/24/26 Case Management Conference to 11/30/26, at 10:00 am in Dept. W8. All appearing parties SHALL file and serve a timely case management statement at least 15 calendar days prior to the continued hearing as required by the rules, including California Rules of Court rule 3.725 and Local Rule 369. Plaintiff to give notice.
11	Scott vs. Innovative Pain Treatment Solutions, LLC	<u>Motion to Dismiss Stakeholder and Request for Attorney's Fees and Costs</u> (Case Management Conference) 1. <u>Motion to Dismiss etc.</u> Plaintiff KYLE SCOTT filed this interpleader action and now moves for an order: (1) dismissing Plaintiff as stakeholder, (2) awarding \$3,174.70 in costs and \$8,875.00 in attorney's fees, and (3) permitting deposit of the remaining interpleaded funds of \$14,818.22 regarding Defendant BAHIIYA SIGAFOES and \$3,728.80 regarding Defendant CHERRY ANTOINE with the court. On 5/15/26, the pending motion was continued to 7/31/26 because service on Defendant F&M RADIOLOGY MEDICAL CENTER ("F&M") apparently occurred on 4/22/26, and a response deadline had not yet expired. The proof of service also failed to establish that F&M had been served with the

moving papers. The court therefore ordered Plaintiff to serve F&M immediately with the moving papers, if not already served, and to give all parties, including F&M, notice of the continued hearing. (ROA 124.) Plaintiff subsequently filed a proof of service establishing service of the moving papers on F&M (ROA 129), and F&M's default was entered on 6/18/26 (ROA 136).

a. Legal Authority

Code of Civil Procedure Section 386.5 provides, "Where the only relief sought against one of the defendants is the payment of a stated amount of money alleged to be wrongfully withheld, such defendant may, upon affidavit that he is a mere stakeholder with no interest in the amount or any portion thereof and that conflicting demands have been made upon him for the amount by parties to the action, upon notice to such parties, apply to the court for an order discharging him from liability and dismissing him from the action on his depositing with the clerk of the court the amount in dispute and the court may, in its discretion, make such order." (Code Civ. Proc., § 386.5; *County of Santa Clara v. Escobar* (2016) 244 Cal.App.4th 555, 577.)

" 'Interpleader is an equitable proceeding by which an obligor who is a mere stakeholder may compel conflicting claimants to money or property to interplead and litigate the claims among themselves instead of separately against the obligor After admitting liability and depositing the money or property with the court, the obligor is discharged from liability and freed from the necessity of participating in the litigation between the claimants.' [Citations.]" (*Southern Calif. Gas Co. v. Flannery* (2014) 232 Cal.App.4th 477, 486, emphasis added.) "The true test of suitability for interpleader is the stakeholder's disavowal of interest in the property sought to be interpleaded, coupled with the perceived ability of the court to resolve the entire controversy as to entitlement to that property without need for the stakeholder to be a party to the suit." (*Pacific Loan Management Corp. v. Superior Court* (1987) 196 Cal.App.3d 1485, 1489-1490.)

Code of Civil Procedure section 386.6 provides:

(a) A party to an action who follows the procedure set forth in Section 386 or 386.5 may insert in his motion, petition, complaint, or cross-complaint a request for allowance of his costs and reasonable attorney fees from the amount in dispute which has been deposited with the court. At the time of final judgment in the action the court may make such further provision for assuming of such costs and attorney fees by one or more of the adverse claimants as may appear proper.

(b) A party shall not be denied the attorney fees authorized by subdivision (a) for the reason that he is himself an attorney, appeared in pro se, and performed his own legal services.

b. Merits

Plaintiff declares that he is a disinterested stakeholder of \$18,547.02 in remaining settlement funds, that all defendants have appeared, defaulted, or been dismissed, and that he incurred fees and costs in prosecuting the interpleader action. (Scott Decl., ¶¶ 2-7.) In the moving papers, Plaintiff seeks \$3,174.70 in costs and \$8,875.00 in attorney's fees, for a total ward of \$12,049.70. (Scott Decl. ¶¶ 4-8 & Exh. 2.) In the supplemental papers, however, Plaintiff increased his requested costs to \$3,465.25. (Scott Supp. Decl., ¶¶ 3-6 & Exh. 2.)

Plaintiff has substantially satisfied the requirements of Code of Civil Procedure section 386.5. The motion is unopposed, and all defendants have appeared, defaulted, or been dismissed.

The requested attorney's fees, however, appear excessive given the routine nature of the interpleader proceedings, the limited amount in dispute, and the lack of sufficient information supporting the claimed 25 hours of supervision and review. The requested fees would consume nearly half of the \$18,547.02 interpleaded fund, before costs are deducted. The court determines that an award of \$3,000 in

attorney's fees is appropriate here, representing six hours at counsel's requested rate of \$500 per hour.

Also, Plaintiff originally requested \$3,174.70 in costs. The supplemental declaration (filed on 7/27/26) increases that request to \$3,465.25. Plaintiff filed and served the supplemental declaration only four days before the hearing. The court determines that an award of the originally noticed costs of \$3,174.70 is appropriate here (and not the recently requested additional cost of \$290.55).

Accordingly, the court awards Plaintiff \$3,174.70 in costs and \$3,000 in attorney's fees under Code of Civil Procedure section 386.6, for a total award of \$6,174.70.

The award shall be allocated pro rata between the respective funds: \$4,933.30 to Sigafos's fund, leaving \$9,884.92, and \$1,241.40 to Antoine's fund, leaving \$2,487.40.

Plaintiff SHALL deposit the interpleaded fund with the Clerk of the Court and file proof of deposit within 10 days. Upon filing proof of deposit, Plaintiff shall be discharged as stakeholder and dismissed from the action.

Plaintiff to give notice.

2. CMC

An interpleader action is an equitable proceeding with two phases. Once the plaintiff deposits the funds and is dismissed, phase one is complete.

In the second phase of an interpleader action, the court typically addresses competing claims to the settlement funds. Here, there are apparently no pending competing claims to the remaining res as only BAHYA SIGAFOS and CHERRY ANTOINE have answered the Complaint. All other defendants have defaulted or been dismissed.

Here, phase one is not yet complete as the funds have not yet been deposited and the stakeholder plaintiff has not yet been dismissed.

		The parties should be prepared to discuss how best to proceed under the circumstances.
12	Holtkamp vs. Anaheim Police Department	<u>Motion to Dismiss</u> (Case Management Conference) 1. Motion to Dismiss The court GRANTS Defendant ANAHEIM POLICE DEPARTMENT's motion to dismiss. The motion is meritorious. Plaintiff did not amend after the defendant successfully demurred to the entire original complaint. As such, there is no current pleading in this action. A court may dismiss a case "after a demurrer to the complaint is sustained with leave to amend, the plaintiff fails to amend it within the time allowed by the court and either party moves for dismissal." (Code Civ. Proc., § 581(f)(2); see also Cal. Rules of Ct, rule 3.1320(h) [when the time to amend after a sustained demurrer has expired, "the court may dismiss the action as to the defendant in whose favor the demurrer was sustained."].) After a first amended complaint, a plaintiff "no longer [has] an unfettered right to file an amended complaint." (<i>Leader v. Health Industries of America, Inc.</i> (2001) 89 Cal.App.4th 603, 612.) A court has the authority to strike pleadings "not filed in conformity with its prior ruling." (<i>Id.</i> at 613.) A "plaintiff's failure to file an amended complaint within the time allowed by the court subject[s] any subsequently filed pleading to a motion to strike..." (<i>Id.</i>) As such, a trial court may strike an amended complaint "filed in disregard of established procedural processes," and may strike an amended pleading "because no request for permission to amend was sought." (<i>Id.</i>) Here, the court sustained defendant's demurrer to the entire Complaint on 3/27/26, giving Plaintiff 20 days leave

		to amend. Any first amended complaint was therefore due on 4/16/26. No first amended complaint has been filed. For this reason, the motion is GRANTED. The court notes that the original notice of motion was made on behalf of “Defendant CITY OF ANAHEIM”, which was later corrected via a Notice of Errata filed on 7/7/26 to reflect the true name of the defendant, ANAHEIM POLICE DEPARTMENT – i.e., the only named defendant in this action. The successful demurrer was made by Anaheim Police Department and the current moving papers was filed by the Anaheim City Attorney’s Office, which represents the successful demurring party. Moving Defendant to give notice. 2. CMC In light of the above ruling, the court VACATES the Case Management Conference.
13	Sosa vs. Cornejo	<u>Motion to Compel (re Requests for Admission)</u> The court DENIES in part, and GRANTS in part, Plaintiff BENITO GONZALEZ SOSA’s motion to have Requests for Admission Deemed Admitted. The request to deem Defendant to have admitted Plaintiff’s Requests for Admission appears to be MOOT. Both sides appear to agree that untimely responses have been served. The court generally does not grant a motion to deem requests admitted where a party serves a response in substantial compliance before the hearing. (See Code Civ. Proc., § 2033.280.) The request to deem requests admitted is therefore DENIED.

		The motion however is not moot as to the issue of monetary sanctions. Section 2033.280(c) states, “It is mandatory that the court impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) on the party or attorney, or both, whose failure to serve a timely response to requests for admission necessitated this motion.” Here, Plaintiff requests \$1,885.00 in monetary sanctions against Defendant JOSE CORNEJO. The amount requested appears excessive in light of the circumstances. The court awards a total of \$1,185.00 (representing 2.5 hours at \$450/hour plus \$60 filing fee). Defendant Jose Cornejo to pay Plaintiff a total of \$1,185.00 within 60 days. Plaintiff to give notice.
14	Nesjan vs. AirBnB, Inc.	<u>Motion to Compel Arbitration</u> The court GRANTS Defendant AIRBNB, INC.’s unopposed motion to compel Plaintiff ADALYNN NESJAN to arbitrate her claims against Defendant, and to STAY this action. Plaintiff alleges she fell on the stairs at a property in Laguna Hills and that Defendants Airbnb, Inc. and Tatiana Taleb negligently owned, maintained, managed, or operated the premises. (ROA 2.) Defendant proffers evidence that Plaintiff agreed to Defendant’s Terms of Service before creating an Airbnb account and booking accommodation through Defendant. (Anderson Decl., ¶¶ 3-6; 15-24.) The Terms of Service Version 13 contain the following arbitration provision: 23.4 Agreement to Arbitrate. You and Airbnb mutually agree that any dispute, claim or controversy arising out of or relating to these Terms or the applicability, breach, termination, validity, enforcement or interpretation thereof, or any use of the Airbnb Platform, Host Services, or any Content (collectively, “Disputes”) will be

settled by binding individual arbitration (the “Arbitration Agreement”). If there is a dispute about whether this Arbitration Agreement can be enforced or applies to our Dispute, you and Airbnb agree that the arbitrator will decide that issue.

...

23.6 Arbitration Rules and Governing Law. This Arbitration Agreement evidences a transaction in interstate commerce and the Federal Arbitration Act governs all substantive and procedural interpretation and enforcement of this provision.

(Anderson Decl., Exh. K.)

The Federal Arbitration Act (“FAA”), which includes both procedural and substantive provisions, governs agreements involving interstate commerce. The FAA applies here because the Terms of Service expressly state that the FAA applies. (See, e.g., *Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 355.)

The FAA states that written arbitration agreements “shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (9 U.S.C. § 2.) On a motion to compel arbitration, the court’s role is limited to deciding: “(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute.” (*Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 218 [“By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration.”].)

“‘[P]arties may agree to have an arbitrator decide not only the merits of a particular dispute but also “‘gateway’ questions of ‘arbitrability,’ such as whether the parties have agreed to arbitrate or whether their agreement covers a particular controversy.”’ [Citation.] But ‘[c]ourts should not assume that the parties agreed to arbitrate arbitrability unless there is “clea[r] and unmistakabl[e]”

		evidence that they did so.’ [Citation.] This is a ‘heightened standard,’ and it ‘pertains to the parties’ manifestation of intent, not the agreement’s validity.’ [Citation.]” (<i>Najarro v. Superior Court</i> (2021) 70 Cal.App.5th 871, 879-880.) Here, the Arbitration Provision broadly states that “any dispute, claim or controversy arising out of or relating to these Terms or the applicability, breach, termination, validity, enforcement or interpretation thereof, or any use of the Airbnb Platform, Host Services, or any Content” shall be settled by binding arbitration. Further, “If there is a dispute about whether this Arbitration Agreement can be enforced or applies to our Dispute, you and Airbnb agree that the arbitrator will decide that issue.” (Anderson Decl., Exh. K; see also, <i>Najarro</i>, 70 Cal.App.5th at p. 888 [provision that, as relevant here, “the arbitrator shall have the exclusive power to resolve any dispute relating to the interpretation, applicability, enforceability, or formation of this [a]greement” constituted a “clear and unmistakable” delegation clause].) The arbitration provision appears to cover the claims asserted by Plaintiff. Accordingly, the motion is GRANTED. Also, the entire action is STAYED pending completion of arbitration pursuant to Code of Civil Procedure section 1281.4. Once the arbitration is completed, the action may proceed as to Defendant TATIANA TALEB. The court sets an ADR Review Hearing for 12/7/26 at 9:00 a.m. in Department W08. Plaintiff is ordered to submit a status report regarding arbitration <u>no later than 10 court days prior</u> to the hearing. Moving Defendant to give notice.
15	Jones vs. Hyundai Motor America	<u>Motion to Compel Arbitration</u> The court GRANTS Defendant Hyundai Motor America’s motion to compel arbitration the claims of Plaintiff Tina Jones and to stay the action.

Late-Filed Opposition and Reply Briefs: The court exercises its discretion to consider the late-filed opposition and reply briefs.

RJN: The court **DENIES** as unnecessary Defendant's request for judicial notice of Plaintiff Jones's Complaint in this action and the Hyundai 2020 Owner's Handbook and Warranty Information. (Evid. Code, § 452(d), 452(h).)

Defendant attaches (as Exhibit C to the Declaration of Anthony Goel) the Owner's Handbook & Warranty Information ("Warranty"), which contains an arbitration provision identified in the Table Contents of the Warranty Booklet as: "BINDING ARBITRATION FOR CALIFORNIA VEHICLE ONLY." (Goel Decl., Ex. C at p. 3.)

The arbitration provision provides in relevant part:

PLEASE READ THIS SECTION IN ITS ENTIRETY AS IT AFFECTS YOUR RIGHTS. . . .

If you purchased or leased your Hyundai vehicle in the State of California, you and we, Hyundai Motor America, each agree that any claim or disputes between us (including between you and any of our affiliated companies) related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation claims related to false or misleading advertising, unfair competition, breach of contract or warranty, the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price (excluding personal injury claims), but excluding claims brought under the Magnuson-Moss Warranty Act, shall be resolved by binding arbitration at either your or our election, even if the claim is initially filed in a court of law. If either you or we elect to resolve our dispute via arbitration (as opposed to in a court of law), such binding arbitration shall be administered by and through JAMS Mediation, Arbitration and ADR Services (JAMS) under its

Streamlined Arbitration Rules & Procedures, or the American Arbitration Association (AAA) under its Consumer Arbitration Rules.

We will pay all fees for any arbitration except for the initial filing fee of \$250 for JAMS or \$200 for AAA. The arbitration will be held in the city or county of your residence. To learn more about arbitration, including the applicable rules and how to commence arbitration, please contact:

JAMS at www.jamsadr.org; 800-352-5267; or
AAA at www.adr.org; 800-778-7879.

...

Notwithstanding the above, either you or we may file a lawsuit in small claims court for any claims that otherwise require binding arbitration, if the small claims court has jurisdiction. In addition, either you or we may invoke any JAMS Streamlined Arbitration Rules & Procedures or AAA Consumer Arbitration Rules that allow you or we to have a small claims court decide any claims that otherwise require binding arbitration. This agreement evidences a transaction involving interstate commerce and shall be governed by the Federal Arbitration Act, 9 U.S.C. §§ 1-16. Judgment upon any award in arbitration may be entered in any court having jurisdiction.

IF YOU PURCHASED OR LEASED YOUR VEHICLE IN CALIFORNIA, YOUR WARRANTY IS MADE SUBJECT TO THE TERMS OF THIS BINDING ARBITRATION PROVISION. BY USING THE VEHICLE, OR REQUESTING OR ACCEPTING BENEFITS UNDER THIS WARRANTY, INCLUDING HAVING ANY REPAIRS PERFORMED UNDER WARRANTY, YOU AGREE TO BE BOUND BY THESE TERMS. IF YOU DO NOT AGREE WITH THESE TERMS, PLEASE CONTACT US AT OPT-OUT@HMAUSA.COM WITHIN THIRTY (30) DAYS OF YOUR PURCHASE OR LEASE TO OPT-OUT OF THIS ARBITRATION PROVISION.

(Goel Decl., Exh. C at pp. 12-14.)

The Warranty Handbook was provided in the glovebox materials at the time of sale, for Plaintiff to keep. (Goel Decl., ¶¶ 5-7.)

A party moving to compel arbitration bears an initial burden of producing “prima facie evidence of a written agreement to arbitrate the controversy.” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166.) The moving party “can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.” (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541.) Alternatively, the moving party can meet its burden by setting forth the agreement’s provisions in the motion. (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219; see also Cal. Rules of Court, rule 3.1330 [“The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.”].) For this step, “it is not necessary to follow the normal procedures of document authentication.” (*Condee*, 88 Cal.App.4th at p. 218.) If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion.

A vehicle manufacturer meets this initial burden by submitting a copy of the agreement, stating the relevant terms verbatim in the moving papers, and presenting evidence the consumer received the owner’s manual and warranty information. (See, e.g., *Kostandian v. American Honda Motor Co., Inc.* (2026) 120 Cal.App.5th 872, 882 [reversing the trial court’s order denying the motion to compel arbitration].)

If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. (See *Gamboa*, 72 Cal.App.5th at 165-166.) The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not

remember seeing the agreement, or that the party never signed or does not remember signing the agreement. (*Ibid.*) If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party. (*Ibid.*)

Here, Defendant meets its initial prima facie burden of establishing the existence of a written arbitration provision, in the Warranty. Plaintiff does not dispute the existence of the arbitration provision in the vehicle's written Warranty, that he received a copy of the Warranty, or that he accepted the benefits of the Warranty.

Plaintiff argues that there is no contract between the parties where a party unknowingly received the arbitration terms. Plaintiff submits no evidence, however, showing she did not know of, review, and/or agree to the arbitration terms. Plaintiff fails to meet her shifted burden to produce evidence challenging the agreement. (*Gamboa*, supra, 72 Cal.App.5th at pp. 165-166.)

Even if Plaintiff had submitted evidence to meet her burden, Defendant argues that the doctrine of equitable estoppel prevents Plaintiff from disclaiming the arbitration provision included in the Warranty.

"The doctrine [of equitable estoppel] acts defensively [and] operates to prevent one from taking an unfair advantage of another but not to give an unfair advantage to one seeking to invoke the doctrine." (*Peskin v. Phinney* (1960) 182 Cal.App.2d 632, 636; see also Evid. Code, § 623 ["Whenever a party has, by his own statement or conduct, intentionally and deliberately led another to believe a particular thing true and to act upon such belief, he is not, in any litigation arising out of such statement or conduct, permitted to contradict it"].) For example, a principal will be estopped to challenge the validity of a contract based on lack of agent's authority where the principal retained the benefits of the contract. (*Lemat Corp. v. American Basketball Assn.* (1975) 51 Cal.App.3d 267, 276.)

Equitable estoppel may prevent a consumer from disclaiming an arbitration agreement. (*Ford Motor Warranty Cases* (2023) 89 Cal.App.5th 1324, 1332 [citing other cases and holding, “Under certain circumstances, a nonsignatory to an arbitration agreement may seek to enforce it against a signatory. Whether such enforcement is permissible is a question of state law”].) Specifically, “[w]hen a plaintiff brings a claim which relies on contract terms against a defendant, the plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement. [Citations.]” (*JSM Tuscan, LLC v. Superior Court* (2011) 193 Cal.App.4th 1222, 1239-1240 [emphasis in original] [applying the doctrine against a nonsignatory plaintiff]; see also *Boucher v. Alliance Title Co., Inc.* (2005) 127 Cal.App.4th 262, 269 n.5 [“a party may be estopped from asserting that the lack of his signature on a written contract precludes enforcement of the contract’s arbitration clause when he has consistently maintained that other provisions of the same contract should be enforced to benefit him.” [Citation.].”)

Here, Plaintiff relies on the express warranties contained in the Warranty to bring claims under the Song-Beverly Consumer Warranty Act and pleads a claim for Breach of Express Warranty. Plaintiff also previously invoked and benefitted from the Warranty, bringing her Vehicle in for at least one warranty repair. (Goel Decl., ¶ 20, Exh. D.)

The court finds Plaintiff is equitably estopped from arguing the arbitration provision contained within the vehicle’s express warranty is unenforceable.

Scope of Arbitration Agreement

Plaintiff’s claims fall within the scope of the arbitration agreement contained in the Warranty, which covers in relevant part: “any claim or disputes between us . . . related to or arising out of . . . the performance of the vehicle, any service relating to the vehicle, [or] the vehicle warranty.” (See Goel Decl., Exh. C.)

Unconscionability

Plaintiff argues that regardless of whether the arbitration provision in the Warranty constitutes a valid arbitration agreement, the arbitration provision is unconscionable.

A court may refuse to enforce an arbitration agreement that is unconscionable. (Civ. Code § 1670.5.) “Because unconscionability is a contract defense, the party asserting the defense bears the burden of proof.” (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 911.)

To be unenforceable, a contract must be *both* procedurally and substantively unconscionable, but the elements need not be present in the same degree. (*Armendariz v. Foundation Health Psychcare Servs., Inc.* (2000) 24 Cal.4th 83, 114.) The analysis employs a sliding scale: “. . . the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Armendariz*, 24 Cal.4th at 114; *Mercuro v. Superior Court* (2002) 96 Cal.App.4th 167, 174-175.)

Procedural Unconscionability

Plaintiff argues that the arbitration agreement is procedurally unconscionable because the arbitration provision is a contract of adhesion to which Plaintiff never agreed.

Procedural unconscionability concerns the manner in which the contract was negotiated and the parties’ circumstances at that time. It focuses on the factors of oppression or surprise. (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1329.) Adhesive contracts create a “modest degree of procedural unconscionability.” (*Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 248.)

Plaintiff asserts *Norcia v. Samsung Telecommunications Am., LLC* (9th Cir. 2017) 845 F.3d 1279 is instructive. In *Norcia*, the plaintiff brought a putative class action alleging the cellphone manufacturer misrepresented facts about the phone’s performance. (*Id.* at 1282-1283.) The cellphone manufacturer moved to compel, arguing the arbitration agreement contained inside a warranty

brochure in the mobile phone's packaging. (Id. at 1281.) In determining whether the plaintiff had engaged in any conduct sufficient to show that he agreed to be bound by the arbitration agreement in the warranty brochure, the Ninth Circuit noted there was no dispute that plaintiff did not expressly assent to the agreement in the brochure, did not sign the brochure or otherwise act in a manner that would show "his intent to use his silence, or failure to opt out, as a means of accepting the arbitration agreement." (Id. at 1285-1286.) Therefore, "Samsung's offer to arbitrate all disputes with Norcia [in the warranty] 'cannot be turned into an agreement because the person to whom it is made or sent makes no reply, even though the offer states that silence will be taken as consent,' [citation] unless an exception to this general rule applies." (*Norcia*, 845 F.3d at pp. 1285-1286.) The Ninth Circuit noted in dicta, however, that the manufacturer "may be able to require [the consumer] to arbitrate claims arising out of the [warranty] contained in the Product Safety & Warranty Information brochure." (Id. at 1288, n. 3 ["Under [*Weinstat v. Dentsply Internat., Inc.* (2010) 180 Cal.App.4th 1213], Samsung may be able to require Norcia to arbitrate claims arising out of the Standard Limited Warranty contained in the Product Safety & Warranty Information brochure, but we need not consider the enforceability of any such limitation because Norcia has not brought any warranty claims against Samsung"].)

Unlike the plaintiff in *Norcia* that had brought no claims under the warranty, Plaintiff here relies on the Warranty to bring claims under the Song-Beverly Consumer Warranty Act. In addition, the arbitration provision here includes a 30-day opt-out provision, which eliminated or greatly reduced the adhesive nature of the agreement.

For the reasons above, the court finds only a modest amount of procedural unconscionability.

Substantive Unconscionability

Lastly, Plaintiff argues the arbitration agreement is substantively unconscionable because the agreement deprives Plaintiff the choice of arbitrator, shifts fees and

costs of arbitration onto Plaintiff, and deprives Plaintiff a jury trial.

“Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create ‘overly harsh’ or ‘one-sided’ results.” (*Serafin v. Balco Properties Ltd., LLC* (2015) 235 Cal.App.4th 154, 177.) “A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be ‘so one-sided as to ‘shock the conscience.’” (*Pinnacle Museum Tower Association v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 246.) In assessing substantive unconscionability, the “paramount consideration” is mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1287.)

Here, while the arbitration agreement limits the number of arbitration services available to administer the arbitration, Plaintiff does not show that proceeding before JAMS and/or AAA would negatively affect Plaintiff’s rights.

The agreement does not improperly shift fees and costs of arbitration to Plaintiff, instead requiring that Plaintiff be responsible for only the initial filing fee of \$200-\$250. The court notes that is less than the filing fee Plaintiff paid to initiate this court action. Lastly, in failing to meet her shifted burden to challenge the authenticity of the arbitration agreement, Plaintiff waives any argument that the valid arbitration agreement “deprived” of her right to jury trial.

In sum, Plaintiff shows only a modest amount of procedural unconscionability and no substantive unconscionability.

As such, **the court GRANTS the motion and STAYS this action** pending resolution of the parties’ arbitration. (See Code Civ. Proc., § 1281.2.)

The court sets a Status Conference re ADR for 2/1/27 at 9:00 am in Dept. W8. Plaintiff SHALL submit a status report regarding the arbitration no later than 10 court days prior to the hearing.

		The court VACATES the scheduled 8/31/26 Case Management Conference. Defendant to give notice.
16	Schlickman vs. Anser Advisory	<u>Demurrer (re Third Amended Complaint)</u> 1. Demurrer As explained below, the court SUSTAINS Defendants GARY COOLEY and MARLENE HUMBERT's (the "Moving Defendants") demurrer to the ninth, eleventh, twelfth, thirteenth, fourteenth, fifteenth, sixteenth and seventeenth causes of action asserted in the Third Amended Complaint (TAC) filed by Plaintiff CARA SCHLICKMAN. The TAC asserts 18 causes of action against numerous defendants. As to the Moving Defendants, the TAC asserts the following causes of action: 6th C/A (harassment in violation of FEHA) 9th C/A (failure to pay minimum wages etc) 10th C/A (reporting time pay & liquidated damages) 11th C/Ca (failure to pay sick leave) 12th C/A (failure to pay overtime wages etc) 13th C/A (missed, interrupted, untimely meal periods) 14th C/A (missed, interrupted, untimely rest breaks) 15th C/A (waiting time penalties) 16th C/A (failure to reimburse) 17th C/A (unfair trade practices) 18th C/A (unfair competition) [The TAC misnumbered the 15th and 16th causes of action.] Moving Defendants generally demurs to the 9th, 11th, 12th, 13th, 14th, 15th, 16th and 17th causes of action. (Code Civ. Proc., § 430.10(e).)

Evidentiary Objection: The court **SUSTAINS** Moving Defendants’ objection to Plaintiff’s counsel’s declaration and exhibit.

Statute of Limitations – SUSTAINED (w/leave as to Cooley only)

First, Moving Defendants demur to the 9th, 12th, 13th, 14th and 16th causes of action on the basis that they are time-barred.

A demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred. (*Boy Scouts of America Nat. Foundation v. Superior Court* (2012) 206 Cal.App.4th 428, 438.) “In order for the bar to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint.” (*Id.* at 438-439.)

The parties do not dispute that the statute of limitations under the Unfair Competition Law (UCL) is four years and begins to run upon accrual of the claim. (See Bus. & Prof. Code § 17208; see also *Fox v. Ethicon-Endo Surgery, Inc.* (2005) 35 Cal. 4th 797, 806 [a cause of action accrues at the time when the cause of action is complete with all of its elements]).

The TAC alleges the following: Sometime between 3/4/19 to 10/11/19, Plaintiff complained about sick leave. (TAC, ¶ 56.) She took Pregnancy Disability Leave (PDL) starting 10/14/19. (TAC, ¶ 59.) On 12/3/20, Plaintiff inquired about returning to work to her position and a date to do so. Ms. Humbert informed Plaintiff that with the consolidation of both companies into one that the administrative side of the company was completely covered and the position Plaintiff previously held was “dissolved”. (TAC, ¶ 66.) Plaintiff’s employment was terminated on 2/5/21. (TAC, ¶ 27.)

Moving Defendants were added to this case on 4/18/24, when Plaintiff filed her First Amended Complaint. Moving Defendants argue that Plaintiff’s claims are time-barred because applying the four-year statute of limitations, Plaintiff had until 10/14/23 to file her lawsuit against them.

Plaintiff also argues that even if an additional 178 days is added by Judicial Council Emergency Rule 9, Plaintiff's deadline would have been 4/9/24 – i.e., still before the Defendants were added to this case.

In her opposing papers, Plaintiff argues that the relation-back doctrine applies to the individual defendants who were named in the First Amended Complaint, and as such, the relevant date is when the original Complaint was filed - i.e., 8/28/23.

With regards to the relation-back doctrine, an amendment filed after the statute of limitations has run will be deemed filed as of the date of the original complaint "provided recovery is sought in both pleadings on the same general set of facts." (*Austin v. Massachusetts Bonding & Insurance Co.* (1961) 56 Cal.2d 596, 600.)

The facts pertaining to the individual defendants with regards to Plaintiff's employment and disability leave relate to the facts against the Anser Defendants, and the Moving Defendants do not argue otherwise. However, Moving Defendants cite to *Woo v. Superior Court* (1999) 75 Cal.App.4th 169, 176, where the court held: "The general rule is that an amended complaint that adds a new defendant does not relate back to the date of filing the original complaint and the statute of limitations is applied as of the date the amended complaint is filed, not the date the original complaint is filed... A recognized exception to the general rule is the substitution under section 474 of a new defendant for a fictitious Doe defendant named in the original complaint as to whom a cause of action was stated in the original complaint." (Id. at 176.)

As relevant here, Section 474 of the Code of Civil procedure provides, in part:

When the plaintiff is ignorant of the name of a defendant, he must state that fact in the complaint, or the affidavit if the action is commenced by affidavit, and such defendant may be designated in any pleading or proceeding by any name, and when his true name is discovered, the pleading or proceeding must be amended accordingly; the copy of the first pleading

or notice served upon such defendant bore on the face thereof a notice stating in substance: "To the person served: You are hereby served in the within action (or proceedings) as (or on behalf of) the person sued under the fictitious name of (designating it)." The certificate or affidavit of service must state the fictitious name under which such defendant was served and the fact that notice of identity was given by endorsement upon the document served as required by this section. ...

The court in *Woo* further states,

Among the requirements for application of the section 474 relation-back doctrine is that the new defendant in an amended complaint be substituted for an existing fictitious Doe defendant named in the original complaint. [citation] Here [the plaintiff] made no apparent attempt to satisfy this procedural requirement. The amended complaint adds Woo as a defendant but does not identify him as a substitute for a previously named fictitious defendant. Furthermore, the summons served on Woo identifies him as being sued as an individual defendant, not as a defendant previously sued under a fictitious name.

(*Woo*, 75 Cal.App.4th at 176, emphasis supplied.)

The court also held,

"A further and non-procedural requirement for application of the section 474 relation-back doctrine is that [the plaintiff] must have been genuinely ignorant of [the defendant]'s identity at the time she filed her original complaint. ..., if the identity ignorance requirement of section 474 is not met, a new defendant may not be added after the statute of limitations has expired even if the new defendant cannot establish prejudice resulting from the delay."

(*Id.* at 177.)

Pursuant to the holding in *Woo*, the relation-back doctrine does not apply in this instance. Plaintiff did not substitute Cooley and Humbert as "Doe" Defendants. They were

named and added as individual Defendants in the First Amended Complaint, which was filed after the expiration of the statute of limitations. The Summons served on Moving Defendants also does not identify them as Doe Defendants or by any other fictitious name. (See Summons [ROA 255]). Plaintiff failed to comply with Section 474.

However, the court in *Woo* went on to state:

We conclude that [the plaintiff] would be permitted to allege that [the defendant] is a defendant substituted for a fictitious Doe defendant named in her original complaint and therefore do not hold that her noncompliance with the procedural requirements of section 474 forecloses consideration of her section 474 relation-back contention. However, in other cases the courts may well require strict compliance and counsel are advised to follow the simple correct procedure for substituting a named defendant for a fictitious Doe defendant.

(*Woo*, 75 Cal.App.4th at 177.)

Accordingly, the court finds that Plaintiff's failure to list Cooley and Humber as Doe defendants does not, alone, warrant sustaining the demurrer without leave to amend.

However, Moving Defendants separately contend that Plaintiff failed to comply with Section 474 because her own pleading demonstrates that she was not ignorant of Moving Defendants' identities at the time she filed her original complaint.

With regards to Defendant Cooley, Plaintiff alleges that he was the Chief Operating Officer (COO) and Corporate Development Director from November 2018 to March 2021, a time period covering the entirety of Plaintiff's employment. (TAC, ¶ 14.) Plaintiff alleges that Cooley was one of the ultimate decision-makers regarding her wrongful termination, and that Cooley verbally berated/reprimanded Plaintiff while both of them were in a fish-bowl like glass office with onlookers, yelling at Plaintiff. (TAC, ¶ 14.)

It may be possible that Plaintiff can amend her complaint to allege that she was ignorant of the facts regarding Cooley's liability with respect to the UCL claims. The TAC alleges that Cooley "berated her" but does not allege any other communications or dealings between Plaintiff and Cooley that could leave one to believe that she was not ignorant of his identity with regards to the specific UCL claims based on overtime, minimum wage, meal periods, rest periods, and failure to reimburse necessary expenses.

However, the same cannot be said for Defendant Humbert. Plaintiff alleges that Humbert communicated directly with Plaintiff regarding leave, termination, and severance. (TAC, ¶¶ 14, 66-85.) The court also notes that Plaintiff made these allegations against Humbert in her original complaint, which was filed on 8/28/23. (See Compl., ¶¶ 26-45). As such, the court sustains the demurrer as to these causes of action without leave to amend as to Defendant Humbert.

Labor Code Section 558.1

Next, Moving Defendants argue that Plaintiff failed to allege facts sufficient to show individual liability pursuant to Labor Code section 5581.1 as to the 9th, 11th, 12th, 13th, 14th, 15th and 16th causes of action.

Section 558.1 provides,

- (a) Any employer or other person acting on behalf of an employer, who violates, or causes to be violated, any provision regulating minimum wages or hours and days of work in any order of the Industrial Welfare Commission, or violates, or causes to be violated, Sections 203, 226, 226.7, 1193.6, 1194, or 2802, may be held liable as the employer for such violation.
- (b) For purposes of this section, the term "other person acting on behalf of an employer" is limited to a natural person who is an owner, director, officer, or managing agent of the employer, and the term "managing agent" has the same meaning as in subdivision (b) of Section 3294 of the Civil Code.

(c) Nothing in this section shall be construed to limit the definition of employer under existing law.

11th C/A (sick leave) – SUSTAINED (w/out leave)

Moving Defendants argue that there is no basis for individual liability under Labor Code section 558.1 for failure to pay sick leave in violation of Labor Code section 246. As Moving Defendants note, Section 558.1 provides for personal liability only where a natural person violates, or causes to be violated, “any provision regulating minimum wages or hours and days of work in any order of the Industrial Welfare Commission,” or the specifically enumerated Labor Code sections. Section 246 is not among them. (See *Usher v. White* (2021) 64 Cal.App.5th 883, 896-897 [“to be held liable section 558.1, an ‘owner’ such as Shirley must either have been personally involved in the purported violation of one or more of the enumerated provisions; or, absent such personal involvement, had sufficient participation in the activities of the employer, including, for example, over those responsible for the alleged wage and hour violations, such that the ‘owner’ may be deemed to have contributed to, and thus for purposes of this statute, ‘cause[d]’ a violation.”].)

Here, Plaintiff has not demonstrated in her opposing papers that Labor Code section 246 falls within the purview of Labor Code section 558.1. Accordingly, the court sustains the demurrer to this cause of action without leave to amend.

UCL C/As related to minimum wages, overtime wages, untimely meal periods, untimely rest periods, and failure to reimburse necessary business expenses – SUSTAINED (w/leave as to Cooley only)

With regards to the causes of action for UCL claims based on minimum wages, overtime wages, untimely meal periods, untimely rest periods, and failure to reimburse necessary business expenses, this court will only analyze whether the allegations are sufficiently alleged against

Defendant Cooley, as these claims against Defendant Humbert are time-barred as explained above.

In order for Cooley to be liable for these causes of action pursuant to Labor Code section 558.1, Defendant Cooley “must either have been personally involved in the purported violation of one or more of the enumerated provisions” or “had sufficient participation in the activities of the employer, including, for example, over those responsible for the alleged wage and hour violations”. (*Usher*, 64 Cal.App.5th at 896-897.)

In *Usher*, the court found that the entity’s owner/individual defendant was not liable, as follows: “Shirley was never consulted about, or provided any guidance regarding, the classification of service technicians; played no role in the hiring of technicians; did not create, draft or contribute to the content of any of the independent contractor agreements utilized by White Communications; and did not sign any such agreements on behalf of the company”. (*Id.* at 897; See also *Espinoza v. Hepta Run, Inc.* (2022) 74 Cal.App.5th 44, 59 [“We agree generally with *Usher* and the federal cases it cited that, in order to ‘cause’ a violation of the Labor Code, an individual must have engaged in some affirmative action beyond his or her status as an owner, officer or director of the corporation.”])).

Here, the TAC alleges the following as to Defendant Cooley’s involvement:

“GARY COOLEY was the Chief Operating Officer and Corporate Development Director of ANSER ADVISORY, LLC from November 2018 to March 2021, a time period covering the entirety of SCHLICKMAN’s employment. According to his LinkedIn profile, as COO and CDD, COOLEY was a “[m]ember of [the] Executive Leadership Team responsible for development of strategic partnerships and mergers and acquisitions that fit the company’s aggressive acquisition strategy.” He was also “[r]esponsible for leading marketing, business development and strategic growth initiatives as well as managing the core operating activities including Finance, Human Resources, Information Technology and Risk Management. On information and belief, given

his role, SCHLICKMAN believes COOLEY was one of the ultimate decision makers regarding her wrongful termination from ANSER ADVISORY MANAGEMENT, LLC. Additionally, COOLEY verbally berated/reprimanded SCHLICKMAN while both of them were in a fish-bowl like glass office with onlookers, yelling at SCHLICKMAN.”

(TAC, ¶ 14.)

“At all relevant times herein, Defendants ANSER ADVISORY, LLC, ANSER ADVISORY MANAGEMENT, LLC, and individual Defendants SUDIR DAMLE, GARY COOLEY, MARLENE HUMBERT, and LOYELLA COUTTS subjected Plaintiff to pervasive and severe workplace harassment due to her sex, pregnancy, actual and/or perceived disability, and/or her request for accommodation.”

(TAC, ¶ 85).

These allegations do not satisfy the standard set forth in *Usher*.

Plaintiff’s allegations do not demonstrate any affirmative action relating to Plaintiff’s minimum wages, overtime, meal period, rest periods, or reimbursement claims beyond Cooley’s status as COO and CDD, and the incident wherein he “berated” Plaintiff for reasons that were not even specified.

Accordingly, the court SUSTAINS these causes of action as to Defendant Cooley with leave to amend.

***Waiting Time Penalties Through the UCL –
SUSTAINED (w/leave as to both Humbert and
Cooley)***

Finally, Moving Defendants demur to Plaintiff’s cause of action for “Lab. Code § 203 Waiting Time Penalties For Willful Violation Of Lab. Code § 201 OR § 202 [Violation of Lab. Code §§ 201-203 Through Bus. & Prof. Code §§ 17200 and 17208 (UCL)]” because the UCL does not permit recovery of waiting time penalties under Lab. Code § 203.

In *Pineda v. Bank of America, N.A.* (2010) 50 Cal.4th 1389, 1401, the California Supreme Court held:

By contrast, permitting recovery of section 203 penalties via the UCL would not 'restore the status quo by returning to the plaintiff funds in which he or she has an ownership interest.' [citation] Section 203 is not designed to compensate employees for work performed. Instead, it is intended to encourage employers to pay final wages on time, and to punish employers who fail to do so. In other words, it is the employers' action (or inaction) that gives rise to section 203 penalties. The vested interest in unpaid wages, on the other hand, arises out of the employees' action, i.e., their labor. Until awarded by a relevant body, employees have no comparable vested interest in View more Negative Treatments section 203 penalties. We thus hold section 203 penalties cannot be recovered as restitution under the UCL.

(Id. at 1401-1402.)

Here, Plaintiff seeks waiting time penalties through the UCL. Accordingly, the demurrer is sustained as to this cause of action, with a final opportunity to amend this claim.

Plaintiff is grants 10 days leave to file an amended complaint as noted above.

Moving Defendants to give notice.

2. Upcoming CMC

The action is still not at-issue. As such, **the court CONTINUES the scheduled 8/3/26 Case Management Conference to 11/30/26, at 10:00 am in Dept. W8.** All appearing parties SHALL file and serve a timely case management statement at least 15 calendar days prior to the continued hearing as required by the rules, including California Rules of Court rule 3.725 and Local Rule 369.

Plaintiff to give notice.

17	Romero vs. Herrera	<u>Motion to Strike (re First Amended Complaint)</u> The court DENIES Defendant JENESSA ANGELINE HERRERA’s motion to strike the claim for exemplar/punitive damages of the First Amended Complaint (FAC) filed by Plaintiffs BERNABE ROMERO, MARCELA SANCHEZ, YOSELIN ROMERO, and DAYANA ROMERO. To plead a claim to recover punitive damages, a plaintiff must plead and show one of the following bases for imposition of exemplary damages, i.e. malice, oppression, or fraud. (Civ. Code, § 3294(a).) The statute defines “malice” to mean “conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.” (Civ. Code, § 3294(c)(1).) Conduct carried on with a willful and conscious disregard of the rights or safety of others but that is not despicable will not support an award of punitive damages. (<i>College Hospital Inc. v. Superior Court</i> (1994) 8 Cal.4th 704, 725.) “Despicable conduct” is conduct that is so “vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people.” (<i>Scott v. Phoenix Schools, Inc.</i> (2009) 175 Cal.App.4th 702, 715.) Such conduct has been described as “having the character of outrage frequently associated with crime.” (<i>Id.</i>) A complaint must allege specific factual allegations to support a request for punitive damages. (See, e.g., <i>Anschutz Entertainment Group, Inc. v. Snapp</i> (2009) 171 Cal.App.4th 598, 643 [allegations that defendant’s conduct was intentional, willful, malicious, performed with ill will, and in conscious disregard of plaintiffs’ rights does not satisfy the specific pleading requirement].) “Not only must there be circumstances of oppression, fraud, or malice, but facts must be alleged in the pleading to support such a

claim....” (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166.)

Three essential elements must be present to raise a negligent act to the level of willful misconduct: (i) actual or constructive knowledge of the peril to be apprehended; (ii) actual or constructive knowledge that injury is a probable, as opposed to a possible, result of the danger; and (iii) conscious failure to act to avoid the peril. (*New v. Consolidated Rock Products Co.* (1985) 171 Cal.App.3d 681, 689-690.)

The act of willfully becoming intoxicated and operating a motor vehicle alone may support a claim for punitive damages. (See *Taylor v. Superior Court* (1979) 24 Cal.3d 890, 895-896.) A plaintiff, however, must plead and establish that defendant’s conduct “was such as to amount to a conscious disregard of the safety of and probable injury to other persons.” (See *Dawes v. Superior Court* (1980) 111 Cal.App.3d 82, 87.) In *Taylor v. Superior Court*, the court held that allegations of the defendant’s operation of an automobile under the influence disclosed a conscious disregard of the probable dangerous consequences, where defendant was an alcoholic who was aware of the seriousness of his problem, of his tendency to drive while intoxicated, and of the dangerousness of his driving while in such condition. Similarly, the court in *Dawes v. Superior Court* found that the trial court had abused its discretion in striking punitive damages claim, where the complaint alleged the defendant was driving while intoxicated in a manner where risk of injury was probable. (*Dawes v. Superior Court* (1980) 111 Cal.App.3d 82, 86.) Specifically, the complaint in *Dawes* alleged the intoxicated defendant zigzagged in and out of traffic in excess of 65 miles per hour in a 35-mile per hour zone, in crowded beach recreation area at 1:30 on a weekend afternoon. (*Ibid.*)

The court previously sustained the Defendant Herrera’s demurrer to the complaint, ruling the allegations that Defendant chose to operate a vehicle while under the influence of alcohol were insufficient to support the claim for punitive damages. The court noted:

The Complaint does not allege facts showing Defendant Herrera knew or should have known of the danger, that injury was a probable result of her conduct, or a conscious failure to avoid that danger. Unlike the situations in Taylor and Dawes, there is no allegation here that Defendant Herrera was aware of the dangerousness of her driving while intoxicated, or that Defendant Herrera was driving in a manner where risk of injury was probable, not merely possible.

(04/10/2026 Minute Order [ROA # 38].)

Defendant argues the FAC remains deficient and that the punitive damages claim is not supported by factual allegations.

Plaintiffs argue the FAC alleges detailed facts and addresses the defects identified in the court's prior ruling.

Defendant Herrera chose not to file a reply, effectively conceding the issue. (See, e.g., DuPont Merck Pharmaceutical Co. v. Superior Court (2000) 78 Cal.App.4th 562, 566 ["By failing to argue the contrary, plaintiffs concede this issue"].)

In addition, the court has reviewed the allegations set forth in the FAC and finds Plaintiffs address the defects identified in the court's prior ruling. The FAC alleges Defendant Herrera exhibited obvious signs of intoxication, including slurred speech, bloodshot and watery eyes, odor of alcohol, and impaired coordination. (FAC ¶ 9.) Her intoxication was extreme and severe, such that during a field sobriety investigation, she was unable to walk in a straight line, follow simple instructions, or comprehend or respond appropriately to directions given by law enforcement. (FAC ¶¶ 10-11.) The FAC also alleges facts showing that Defendant in her highly intoxicated state drove through a populated area. (See FAC ¶ 17.) After the collision, Defendant Herrera made false statements to avoid responsibility and conceal her intoxication. (FAC ¶ 27.) These facts support a finding of conscious disregard of the safety of and probable injury to other persons.

		No later than 10 days after service of the notice of ruling, Defendant Herrera SHALL file and serve an answer to the FAC. Plaintiffs to give notice.